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BIG TECH'S BIG DEFECTOR

*Roger McNamee made a fortune as one of
Silicon Valley's earliest champions. Now he's one
of its most fervent critics.*

By Brian Barth November 25, 2019



Roger McNamee has denounced Silicon Valley's "authoritarian" privacy policies.

Illustration by Marc Pallarès

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Roger McNamee started his career in 1982, as a twenty-six-year-old analyst at the investment firm T. Rowe Price. The personal-computer revolution was just beginning. He invested in Electronic Arts (now a leading video-game maker) and Sybase (a pioneering database firm), among others, eventually running one of the most successful funds in the industry. In 1991, he partnered with the venture-capital firm Kleiner Perkins, where he listened to pitches for Netscape and Amazon. He invested in those companies, too, and a few years later he co-founded Silver Lake Partners. The businesses in Silver Lake's portfolio now produce two hundred and thirty billion dollars in annual revenue and employ three hundred and seventy thousand people. In the early two-thousands, McNamee helped create a private-equity firm, Elevation Partners, which invested two hundred and ten million dollars in Facebook in 2009 and 2010, two years before it went public.

If the founders of Big Tech were a family, McNamee might be its eccentric uncle. A longtime guitarist who still plays some fifty shows a year, he has toured for more than two decades with an evolving cast of venture capitalists, technologists, and career musicians such as Pete Sears, of Jefferson Starship. On tracks like the stoner anthem "It's 4:20 Somewhere," by his band Moonalice, McNamee performed under the stage name Chubby Wombat.

McNamee has mentored many of the people who have transformed Silicon Valley. In 2006, when Facebook was a two-year-old company with less than fifty million dollars in annual revenue, McNamee advised Mark Zuckerberg to turn down Yahoo's offer to buy it for a billion dollars. (It's now worth more than five hundred billion.) Not long afterward, he encouraged Zuckerberg to hire Sheryl Sandberg. His acquaintances have included Steve Jobs and Bill

Gates, who was an investor at Silver Lake.

McNamee saw the tech industry as an experiment in creative and profitable problem-solving. He grew unnerved by its ethical failures only in 2012, when Uber came to him for investment capital. He decided that Silicon Valley had changed. “These guys all wanted to be monopolists,” he said recently. “They all want to be billionaires.”

McNamee was convinced that Facebook was different. Then, in February, 2016, shortly after he retired from full-time investing, he noticed posts in his Facebook feed that purported to support Bernie Sanders but struck him as fishy. That spring, the social-media-fuelled vitriol of the Brexit campaign seemed like further proof that Facebook was being exploited to sow division among voters—and that company executives had turned a blind eye. The more McNamee listened to Silicon Valley critics, the more alarmed he became: he learned that Facebook allowed facial-recognition software to identify users without their consent, and let advertisers discriminate against viewers. (Real-estate companies, for example, could exclude people of certain races from seeing their ads.)

Ten days before the Presidential election, McNamee sent an e-mail to Zuckerberg and Sandberg. “I am disappointed. I am embarrassed. I am ashamed,” he wrote.

Recently, Facebook has done some things that are truly horrible and I can no longer excuse its behavior. . . . Facebook is enabling people to do harm. It has the power to stop the harm. What it currently lacks is an incentive to do so.

Within hours, both Zuckerberg and Sandberg sent McNamee cordial replies, assuring him that they were already working to address some of the issues he’d raised, and dispatched a Facebook executive, Dan Rose, to talk to him. Rose

told McNamee that Facebook was a platform, not a publisher, and couldn't control all user behavior. Since leaving the investment world, McNamee had been looking forward to being a full-time musician. But Rose's dismissiveness rattled him. "They were my friends. I wanted to give them a chance to do the right thing. I wasn't expecting them to go, 'Oh, my God, stop everything,' but I was expecting them to take it seriously," he said. "It was obvious they thought it was a P.R. problem, not a business problem, and they thought the P.R. problem was me." McNamee hasn't spoken to Sandberg or Zuckerberg since. (Both declined to comment for this article.) He now refers to Zuckerberg as an "authoritarian."

As Russian election interference became increasingly apparent, McNamee published a series of op-eds—in the *Guardian*, *USA Today*, *Time*, and elsewhere—arguing that the social-media business model thrived on divisive rhetoric: the more extreme the content, the more users shared it; the more the algorithms amplified it, the more ad revenue was generated. McNamee also scheduled meetings with policymakers, investors, and Silicon Valley executives. He and Nancy Pelosi, now the Speaker of the House, had been introduced some twenty years earlier, by the Grateful Dead drummer Mickey Hart, and McNamee set out to expand his network of Washington contacts. As lawmakers prepared for hearings about Russian meddling, in the fall of 2017, McNamee put together a curriculum for them, which he jokingly called "Internet Platforms 101." Adam Schiff, a member of the House Intelligence Committee, had been focussed on foreign manipulation of social media, but, in a meeting, McNamee urged him to consider a broader problem—how the platforms were sowing discord among Americans. "Roger was really ahead of the curve," Schiff said. "Time has borne out his warnings."

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McNamee's zeal for diagnosing problems soon evolved into a mission to devise a solution. He argued that piecemeal regulation would never get to the root of the problem: mining users' private data for profit. In February, 2019, McNamee published "Zucked: Waking Up to the Facebook Catastrophe"—part memoir, part manifesto. He then embarked on a book tour that has turned into an ongoing public-shaming campaign. He has taken his message to bookstores, breweries, high-school gymnasiums, and college campuses. He estimates that he's made his pitch to more than three hundred audiences in the past year. "I have a hippie value system," McNamee told me recently. "I'm always going to speak truth to power."

McNamee is not the first Silicon Valley insider to become a critic of the tech industry, but he may be the most strenuous. Kara Swisher, a co-founder of the tech-news site Recode and a New York *Times* columnist, recalled, "Whenever I would say negative things about Facebook, I'd always get a text or a call from Roger." Now, she continued, McNamee is "sort of shunned" in the Valley. Last winter, Bill Gates told *Forbes*, "I think what Roger has said is completely unfair and kind of outrageous. They're blaming Mark for everything." Swisher thinks the Valley has been eager to portray McNamee as "off the rails." As she

sees it, “He’s a little wacky, but he’s not crazy. The more they make fun of him, the more I’m, like, He’s one-hundred-per-cent right.”

Among some skeptics, however, the profit McNamee has accrued from the technology that he now urges us to renounce makes him difficult to trust. One view of McNamee is that he has the gravitas of a man willing to admit that he was wrong. (“Shame on me,” he told one interviewer.) Another is that, having successfully ridden one wave, he is trying to ride another.

Earlier this year, I met McNamee for breakfast in Baltimore, where he was speaking to the staff of his former employer T. Rowe Price. In 2011, the company had invested a hundred and ninety million dollars in Facebook. “A lot of people are mad at me,” McNamee said, in a hotel on the waterfront. On his speaking circuit, he wears baggy suits, clunky black shoes, and round glasses. Before his book tour, he trimmed his shoulder-length curls. At the hotel’s restaurant, a hostess greeted us and politely asked for McNamee’s name.

“Why do you need my name?” he barked. The woman stuttered a reply, but McNamee cut her off. “Can we just get a table?”

He turned to me with a smirk. “Privacy!” he stage-whispered.

McNamee is not a kombucha kind of Californian. He ordered a Diet Coke with his eggs and toast. As we ate, conversation veered from the civil-rights movement, which he says inspired his tech activism, to the number of Grateful Dead shows he attended before Jerry Garcia died (two hundred). Describing the arc of his career, McNamee attributed his business success mainly to “dumb luck.” Talk turned to Bono, whom he met through Sandberg in 2001, and with whom he co-founded Elevation Partners. “Bono said to me, more than once, ‘Your superpower is you’re not motivated by money,’ ” McNamee told me. “That’s the only reason I could do this.”

McNamee rattles off a frighteningly long list of things that he believes have been “Zucked”: “your vote,” “your rights,” “your privacy,” “your life,” “everything.” So far, the public is less alarmed. A recent Pew Research Center poll found that around half of Americans think that the tech industry is having a positive impact on society. (However, this view is on the decline: in 2015, seven in ten thought so.) Earlier this year, Google and Amazon came in second and third in a survey of millennials’ favorite brands. In general, people are more concerned about the behavior of banks and pharmaceutical companies, and most Americans have yet to meaningfully change their habits as tech consumers. McNamee’s message resonates most with a few relatively insular groups of worried citizens: parents who monitor screen time, socialists who decry West Coast inequality, academics who study algorithmic bias.

At this year’s Truth About Tech conference, held in April, at Georgetown University, I found McNamee slumped in a chair clutching a Diet Coke. “This is my fourteenth city in fourteen days,” he said. Jim Steyer—brother of Tom Steyer, the hedge-fund billionaire turned environmentalist and Presidential candidate—arrived and embraced McNamee. Steyer, who has a blond mane and a California vibe, heads the kids-and-tech advocacy group Common Sense Media. (In one of its recent P.S.A.s, featuring the Muppets, Cookie Monster eats a smartphone.) “What Roger is doing is so inspiring!” Steyer told me.

After listening to a roster of high-powered speakers—the Massachusetts senator Ed Markey, commissioners of the F.T.C. and the F.C.C., and the attorney general of Washington, D.C.—McNamee descended to a basement room where Peter Lord, a vice-president at the software company Oracle, which is worth nearly two hundred billion dollars, had the innards of an Android phone splayed out on a table. McNamee told me, theatrically, “You can stay, but this is off the record.” Lord regarded me sternly. (I later found most of what Lord discussed in a YouTube video of a talk he gave last year.) A

tangle of wires led from the disassembled Android to a laptop, where data from the phone's sensors appeared, updating each second. This amount of data, Lord explained, gesturing at the screen clogged with numbers, was routinely collected on each of Google Android's approximately two billion users.

A technician picked up a small black component and waved it in the air. The numbers on the screen danced accordingly: this was the phone's barometric-pressure sensor, sensitive to changes in elevation. Androids are commonly equipped with a gyroscope, an accelerometer, and a magnetic-field detector; their sensors can calculate heart rate and count steps. This constant flow of information allows your phone to track whether you're sleeping or awake; whether you're driving, walking, jogging, or biking; whether you're in the Starbucks on the ground floor or the lawyer's office on the tenth. Lord delivered a TED-like slide presentation, which included creepy quotes from Eric Schmidt, the former Google chairman: "We can more or less guess what you're thinking about."

For Oracle, the privacy wars have provided an opportunity to stand up for users' interests while also advancing its own—in particular, by dramatizing the vulnerabilities of its rivals. If Google is broken up, Oracle is better positioned to thrive. During the past two years, Oracle has given the same presentation that McNamee and I received to lawmakers and regulators, who, Lord said, were "clearly frustrated" by what they learned.

All modern smartphones—including iPhones—contain hardware that monitors users' activities and locations. But McNamee and many experts argue that Androids are unique in the extent to which they collect and retain user information. Much of this data is collected even when a phone is off-line, then uploaded to Google's servers and integrated into an archive that includes your search, Gmail, and Google Docs history. The Android platform finds

information in your apps and your online activity, and often makes this information available to third parties, like advertisers. A user agreement also gives Google Assistant the right to record conversations that occur within earshot of the device's microphone.

Using digital profiles to predict and influence our behavior is at the heart of Google's and Facebook's business models. In "The Age of Surveillance Capitalism," published earlier this year, Shoshana Zuboff, an emerita professor at Harvard Business School, warns of a "rogue mutation of capitalism," in which tech behemoths surveil humans, and eventually control them.

McNamee speaks often about surveillance capitalism, and credits Zuboff with informing his views and with bringing academic clout to the cause of Silicon Valley reformists. Like Zuboff, he uses phrases such as "behavioral modification," and he speaks of Google Street View and the Stasi in the same breath. McNamee was alarmed by reports, in early November, of Google's partnership with Ascension, a nonprofit health system that has access to millions of patient profiles—a development that, he said, "should trouble everybody."

It's notable that the dust jacket of McNamee's book attacking Facebook includes blurbs from three of the Valley's biggest names: Marc Benioff (a co-C.E.O. of Salesforce), Bill Joy (a co-founder of Sun Microsystems), and Vint Cerf (currently Google's "chief Internet evangelist," who is often referred to as the "father of the Internet"). Rivalries in Silicon Valley once revolved around technological prowess, consumer allegiance, and profitability. Now competition is for moral superiority, a fight that McNamee has found himself in the middle of.

McNamee sees his defection from Silicon Valley as nothing more than a return to his roots—an identity that mixes camp and sincerity. When I asked him to say more about his value system, he referred me to "Get

Together,” a nineteen-sixties Youngbloods anthem. (“Come on people, now / smile on your brother / Everybody get together, / try to love one another right now.”) McNamee’s father, Daniel, was an investment banker and the president of the Albany chapter of the Urban League, a civil-rights organization. His mother, Barbara, was an active feminist in the sixties. At the age of twelve, McNamee became an anti-Vietnam War activist, volunteering for Eugene McCarthy’s Presidential campaign; in high school, he backed George McGovern. In protest of the Iraq War and other policies during the George W. Bush Administration, he refused to cut his hair. When President Obama was inaugurated, he celebrated with a trip to the barber.

Travelling around the country, McNamee carries a guitar case and a knapsack embroidered with the word “Zucked.” (He handed out custom-made “Zucked” M&M’s during his tour until they ran out.) He used to pack as many as seven devices while on the road; now he carries just one iPhone, clipped to his belt. On his left wrist, he wears several leather bracelets: one for Black Lives Matter, another commemorating the March for Our Lives. On most days, he dons a purple undershirt—“the color of inclusion,” he told me.

Silicon Valley companies have always talked about building a better world. In “From Counterculture to Cyberculture” (2006), Fred Turner, a professor of communications at Stanford, charted the history of “collaboration between San Francisco flower power and the emerging technological hub of Silicon Valley.” McNamee hopes that this utopian fusion of culture and technology can be harnessed again, this time for reform.

After the Truth About Tech conference ended, McNamee gave a happy-hour presentation to employees of a Baltimore-based investment-management firm. “Give up your Android phone,” he told an audience of around a hundred fund managers wearing business casual and drinking craft beer. “This is our agency. This is our free will.” He joked, “When do you check your phone in

the morning? Is it before you pee or while you're peeing? Because that's pretty much the range!"

McNamee offers himself as a case study in how to be Google-free. He uses DuckDuckGo, a search engine that presents itself as a privacy-oriented alternative to Google, and he has largely renounced Gmail, Maps, Docs, and the company's other apps. In two months, he slipped up only once, when he watched a music video on YouTube, which Google owns. He argues that Facebook should be used for staying in touch with friends and family, rather than for political debates, which the platform alchemizes into screaming matches. "Outrage and fear are what drive their business model, so don't engage with it," he told me. "I was as addicted as anybody, but we have the power to withdraw our attention."

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His life is made easier by the fact that he has relatively few complaints about Apple, which he praises for taking steps to protect user privacy. Since 2017, the company's Safari browser has blocked third-party cookies, one ubiquitous tool for gleaning personal data. And its new Apple Card, unlike many other credit cards, including American Express and Mastercard, does not share transaction history with third parties.

But some audience members were skeptical. A woman raised her hand. “Are you still on Facebook?” she asked. McNamee barely let her finish. “It’s worse than that!” he said. He uses his profile to promote his book, and has only recently begun to off-load his Facebook stock. It wouldn’t have been a good look, he explained, to sell and then start bad-mouthing the company: “If the stock goes down, you know what? I deserve it!”

At the core of McNamee’s concerns is Internet companies’ use of what he calls “data voodoo dolls”—digital profiles they develop for each user. Echoing Shoshana Zuboff’s arguments, he claims that these profiles are “effectively an extension of yourself,” and that it should be “no more legitimate to trade the data in a data voodoo doll than it is to trade someone’s kidney.” McNamee is especially fervent about micro-targeted online political ads. For those critics who preach the perils of social media—whether from academia, like Zuboff, or Capitol Hill, like Adam Schiff—the 2018 Cambridge Analytica scandal is the quintessential example of how people can be turned into puppets. By collecting data from Facebook without user consent, the company was able to identify micro-populations of voters, then serve up customized ads encouraging them to vote for Donald Trump. Cambridge Analytica obtained user data through duplicitous means, but similar data sets are widely and legally available; micro-targeting is commonplace on nearly all political campaigns.

The question, as McNamee sees it, is how to wrest back control for the people behind the profiles. One of the most popular answers is that antitrust law should be used to take on Big Tech’s power. Elizabeth Warren, who has met with McNamee and called him “one of the clearest voices” on tech reform, has made the breakup of tech giants a central part of her campaign. Bernie Sanders has pledged to press the antitrust issue if elected; Joe Biden has said that he will investigate it. In March, McNamee was invited to give a lecture at the Department of Justice’s antitrust division. In the following months, the

D.O.J. and the F.T.C., along with various state legislatures and congressional committees, announced antitrust investigations aimed at Facebook, Google, Amazon, and Apple.

There is some bipartisan support for tech reform. The Republican senators Marco Rubio (who sponsored a bill authorizing the F.T.C. to devise data-privacy regulations) and Josh Hawley (who co-sponsored a bill with Senator Markey to improve online privacy protections for children) are among the most outspoken advocates. But Adam Schiff, now the chair of the House Intelligence Committee, speaking about his colleagues across the aisle, told me, “I think their agenda is to change what they think is unfavorable content.” In particular, he suspects that Republicans may be trying to crack down on the supposed “pro-progressive” bias of social-media companies. (There is no evidence that such bias exists.)

Several data-privacy bills circulating in Congress draw inspiration from California’s Consumer Privacy Act, which goes into effect on January 1st, and from Europe’s recently enacted General Data Protection Regulation. Such laws expand consumers’ control over their data and give them new legal tools for holding companies accountable. Many privacy advocates, including McNamee, argue that they are critically flawed. Under G.D.P.R. rules, companies must ask users to opt in before their data can be processed by third parties—but, as soon as consumers consent, it’s more or less back to business as usual. And the rules are relatively loose when it comes to metadata. Even if the contents of a phone call are protected, the time of the call or the parties involved might not be. This is more revealing than it seems: as a memo by the Electronic Frontier Foundation notes, a tech giant that doesn’t know your name might still “know you called a gynecologist, spoke for a half hour, and then called the local abortion clinic’s number later that day.”

McNamee believes that antitrust action will be effective only after

comprehensive privacy reforms are enacted—otherwise, it will simply create smaller companies that behave in the same ways that the big ones do now. “I want to prevent the data from getting into the system in the first place,” he told me. The reform that would really have teeth, he says, is one that would “ban all third-party commerce in private information—financial information, location information, health information, browser history, scanning of e-mail.” Companies would be allowed to collect data needed for their services, but nothing else: a wellness app could store your height or your weight but not the location of your gym—and none of this information could be shared with Facebook. The idea, McNamee explained, is that you could log a workout without then being bombarded by ads for nearby Zumba classes.

As Tim Wu, a law professor at Columbia, has pointed out, few of the current proposed policies would have any effect on whether a company can collect private data, only on how it can be used. Under McNamee’s plan, most of Google’s and Facebook’s revenues would disappear overnight, since nearly ninety per cent of both companies’ money comes from ads. (Tech companies that don’t depend on targeted-ad revenue would remain relatively unaffected.) As with the effect of prohibition on the booze industry, this would entail a radical reenvisioning of the playing field.

Even some critics of Silicon Valley find this blueprint of tech reform too extreme. Cindy Cohn, the executive director of the Electronic Frontier Foundation, which has been advocating for a strict national privacy law for decades, said, “I’m not opposed to it in principle, but I think that there are a lot of practical problems.” She notes there would be valid legal defenses against a ban on third-party commerce, along with trade-offs to consider—like limiting advances in A.I., which, for now, relies on vast data sets to train machine-learning programs.

There are other proposals that might redefine online privacy norms without

wholly reinventing them. Tristan Harris, a former Google ethicist and the executive director of the Center for Humane Technology, said that most people “would never say a doctor or lawyer shouldn’t have access to information about us, or that they can’t monetize something in their relationship with us. We say they have to monetize it in alignment with our best interests.” Instead of a ban, Harris argues for extending the fiduciary duty of doctors, lawyers, and other professions to include Internet companies, legally binding them to act exclusively in accordance with their clients’ well-being.

He also proposes a tax on income derived from targeted digital ads, an approach endorsed by the economist and Nobel laureate Paul Romer. In theory, this would encourage tech companies to adopt business models that rely less on personal data, and the tax would be progressive, so as to favor smaller businesses. Harris likens the monetization of user data to the extraction of fossil fuels: “These are the most profitable business models but also the most polluting.” Alongside a tax on polluters, he proposes subsidizing alternatives—platforms that have made commitments not to stoke outrage.

Tech reformists like McNamee are generally focussed on the biggest actors. But Ben Thompson, a former Microsoft and Apple employee who now runs the tech-industry analysis site Stratechery, criticized Apple’s new Tracking Prevention Policy (a stricter version of its previous anti-tracking regime), which he sees as a P.R. move that will disproportionately burden smaller companies like his own. Meanwhile, he noted, Apple has failed to disclose its more egregious privacy violations; in July, the *Guardian* revealed that contractors had listened to some Siri recordings without user consent, as part of quality-control protocol. “A fundamentalist attitude that declares privacy more important than anything,” Thompson wrote, is akin to a “rebellious youth fleeing religion.”

As fears about privacy invasions and electoral intrusions mount, tech companies are tempting scapegoats. But the algorithms they use may not be as powerful as we think. Antonio García Martínez, a tech columnist and former product manager at Facebook, argues that the media has exaggerated the impact of targeted political ads. Before Cambridge Analytica, he told me, every tech journalist “had to write the Facebook privacy piece, like, once a year at least. Now it’s one a week.” A recent study of targeted advertising, published in *Marketing Science*, analyzed fourteen data brokers and found that they correctly surmised the gender of targeted consumers only forty-two per cent of the time; they would have been better off flipping a coin. Another group of researchers concluded that targeted ads net only four per cent more revenue than random ads do. Contrary to conventional wisdom in Silicon Valley, companies don’t need to target consumers to make money. (This is the premise of DuckDuckGo, which serves up ads based on keyword searches, rather than on user profiles.) It also implies that McNamee’s dire warnings about behavioral manipulation may not be entirely sound. McNamee’s oft-repeated claim is that surveillance capitalism undermines democracy by manipulating users’ habits and choices, but his rhetoric effectively cedes agency to tech companies: we’re helpless unless Silicon Valley agrees to change its ways.

On a Monday morning in April, McNamee arrived in Toronto for a brief Canadian stop on the “Zucked” tour. I joined him for breakfast with Jim Balsillie, a billionaire philanthropist and the retired co-C.E.O. of the Canadian company behind BlackBerry, who has recently joined the tech-reform movement. In part because of BlackBerry, Toronto is sometimes described as Silicon Valley North.

In the summer of 2018, Balsillie and McNamee met with other tech experts at the Hamptons estate of George Soros, to discuss the fate of the liberal world order. They had both advised Soros on the speech he gave, earlier that

year, at the World Economic Forum, in which he called Facebook and Google a “menace,” painting a picture of “a web of totalitarian control the likes of which not even Aldous Huxley or George Orwell could have imagined.”

Recently, Balsillie and McNamee split with Soros on a key point. Soros fears that weakening Western tech companies would allow authoritarian regimes like the Chinese government, which actively exports its surveillance systems, to leapfrog the rest of the world. For those in Soros’s camp, using surveillance to crack down on dissent—as the Chinese government does among Uighur Muslims—is a graver concern than using data collection to determine whom to sell microwaves to. McNamee wonders if Soros’s perspective would be different if he’d worked in tech. “George thinks the enemy is China,” Balsillie said. “We’ve seen the enemy, and the enemy is us.”

One of Balsillie’s primary targets is Sidewalk Labs, a subsidiary of Alphabet (Google’s parent company), which has proposed building a community “from the Internet up” on Toronto’s waterfront. Conceptual plans for the project include “building raincoats” that spring out like giant canopies over urban plazas, and a tunnel system for trash collection by robots. But the backbone of the twelve-acre development is a network of sensors and other data-collection infrastructure. According to a leaked internal Sidewalk Labs document, “the majority of the negative press coverage is rooted in an anti-global tech giant narrative being spun by . . . Jim Balsillie.”

In this shifting terrain, tech companies are jockeying for position, which often entails striking out at competitors. Oracle’s alarming—or, to some, alarmist—messaging about Android’s data collection is just one example. Microsoft often portrays itself as the wise elder among younger competitors. The company has already been through antitrust proceedings, and, because it doesn’t depend on targeted-ad revenue, it is relatively unthreatened by limits on data collection. At an event in September, Brad Smith, the president of

Microsoft, said, “I think the first aspect of democratizing data is recognizing that it belongs to individuals.” In January, Twitter users stumbled on Microsoft’s Project Bali, a beta-stage initiative to create a “data bank” that would allow users “to visualize, manage, control, share and monetize” their data. (The Project Bali Web site has since been removed.)

McNamee hopes to exploit companies’ rivalries for the public interest. Silicon Valley, he argues, is in “the trust business—if you lose the trust of the people who use the product, you are done. You never get it back.” And, though he insists that his own career as an investor is over, he believes that regulatory intervention paired with consumer demand could help create “the next big thing”—an opening not only for the ethically minded but also for the profit-seeking.

Apple may be best situated to seize this opportunity. In the talks and meetings I attended, McNamee touted Apple’s pro-privacy stance nearly as often as he dramatized Google’s trespasses, exhorting his audiences to use Apple products. The amiable breakfast with Jim Balsillie turned briefly awkward when McNamee insisted that Balsillie stop using his BlackBerry, which runs on Android, and buy an iPhone. “You need to get off it,” McNamee snapped. “Like, today.”

I asked McNamee whether anyone had ever accused him of being a shill for Apple. “These are facts! A shill is somebody who spins things that aren’t there,” he said. “Not everything at Apple is perfect. But on the privacy thing Tim Cook is really walking the walk.” As is the case with Microsoft, Apple’s business model doesn’t rely heavily on monetizing data, which makes it easier for the company to promote itself as privacy-friendly. In January, outside the Consumer Electronics Show in Las Vegas, a billboard announced “What happens on your iPhone, stays on your iPhone”; in July, an Apple ad above the Sidewalk Labs headquarters in Toronto read “We’re in the business of staying

out of yours.”

And yet there's no question that, by putting computers in our pockets, Apple ushered in the surveillance age. Researchers have found that iPhones send a steady stream of personal data to third parties, much as Android phones do. The company is also a pioneer in Bluetooth beacons, tiny devices used by retailers which glean data from phones as people move about in public spaces. Apple's use of Chinese subcontractors has led to speculation that the company's products are at risk of being compromised by the Chinese government—a prospect that flies in the face of Apple's reputation for being virtually unhackable. In August, Google researchers exposed a large-scale iPhone breach that, according to anonymous sources who spoke with the Web site Tech Crunch, was initiated by the Chinese government in order to surveil Uighurs. Google's blog post about the incident, which failed to mention that Android phones had also been affected, described “mass exploitation” of iPhones. In a tersely worded response, Apple criticized Google for “stoking fear among all iPhone users that their devices had been compromised. This was never the case.”

The tech-reform movement can be hard to take seriously when some of the most prominent activists are also some of the most prominent tech-company shareholders. McNamee's insistence that Facebook and Google engage in “malicious behavioral modification” runs the risk of sounding like conspiracy-speak. And his proposed ban on third-party data commerce could result in excessive pressure applied in the wrong place.

While we waited for our food to arrive, I asked McNamee and Balsillie whether they were the best candidates for bringing about meaningful change in Silicon Valley. “Excuse me?” McNamee said, spreading his arms and leaning toward me across the table. “Who better to criticize than the people who participated in it?” He went on, “My attitude is: have at it, dude. When a

better messenger shows up, I'm going to be in the front of the line cheering them on."

Balsillie told me that Silicon Valley stalwarts often discount Shoshana Zuboff and other scholars as "academic eggheads": "When someone like Roger or me says, 'Here's how we share this issue,' it allows those people to be better heard. They can say, 'We're not raging socialists, because, look, there's a capitalist over there.' " Zuboff, who was one of Balsillie's professors at Harvard, seems to welcome the defectors. "Folks like Roger and Jim now see the elephant," she said in an e-mail. "It's important to see former tech insiders adding their stories to this tectonic shift. We need more of them."

Later that day, McNamee was scheduled to give a lunchtime presentation at the Four Seasons in Toronto's Yorkville district. For ninety-five dollars each, four hundred attendees received a copy of McNamee's book and a salmon lunch served by white-gloved waiters. I struck up a conversation with a banking C.E.O. who had recently deleted Facebook for ethical reasons, and because she recognized her addiction. "I didn't like the fact that I was looking at it every day," she explained.

McNamee peppered his speech with his usual jokes; a riff on "Google Glass-holes" that I'd heard before got a big laugh. A few minutes into his presentation, he turned to Sidewalk Labs. His opposition to the smart city, he told the audience, was based on "a very, very, very, very strong belief" about the risks of Alphabet's venture.

"They want to be a government, but without any of the responsibilities of government," he said. McNamee explained that the ultimate goal of surveillance capitalists is to eliminate uncertainty in decision-making: "That has a superficial appeal, until you realize that agency and identity depend on uncertainty, because it is the choices we make in uncertainty that define who

we are.” There were a few murmurs of approval.

During the question-and-answer period, a silver-haired woman approached the microphone to say that McNamee’s worries sounded like science fiction. She admitted that she didn’t own a cell phone, then said, “I saw the privacy issue, but I wasn’t smart enough to invest and make a profit from it.” The room filled with nervous laughter. McNamee smiled. A middle-aged woman who identified herself “as someone who runs an accelerator” wondered how she could instill in young entrepreneurs a sense of “balanced capitalism.” McNamee nodded eagerly while she spoke.

“We used to let gas stations pour oil down the sewer, and we let mines leave tailings on the side of the hill,” he said. “Then we realized, Wait a minute, the externalities have a very high cost, and the people who create them need to bear it.” The same crisis had been allowed to take hold in Silicon Valley. Don’t fall for the allure of smart this and smart that, McNamee said. He repeated one of his common refrains: “The fix for this is going to be a business opportunity way bigger than what we have now. The difference is that if we do this right it’s spread over thousands and thousands of companies in hundreds of cities.”

McNamee paused and glanced around with a beatific expression. “That’s why this whole road show is so much fun for me,” he said. Above all, he told the room, he wanted to find “people who can be part of the solution.” He was in his element; the crowd waited for him to continue. When the speech was over, McNamee stepped back from the podium, already moving on to the next show. ◆

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